The house was civil about taking large losses.

The mob wasn't running the casino.

He found that such a casino existed, and it was the New York Stock Exchange (NYSE) and the fledgling options market. Rumor has it that Thorp figured out something along the lines of the Black-Scholes formula years before Black and Scholes did. He decided not to publish his findings. The Black-Scholes formula is, effectively, Basic Strategy for the options market. It dictates what a specific option ought to be priced at. Because he was one of the only players armed with this knowledge, Thorp could buy underpriced options and sell overpriced ones—making a killing in the process.

Thorp set up a hedge fund, Princeton-Newport Partners. Over a 20-year span, the professor delivered 20 percent annualized returns to his investors with ultra-low volatility. One of his potential investors was actor Paul Newman. Newman once asked Thorp how much he could make playing blackjack full-time. Thorp could still beat the casinos with his skilled card counting and replied that it would be about $300,000 a year. Newman then asked him why he wasn't pursuing it. Thorp looked at him and said that the NYSE and options market "casinos" made him over $6 million a year with miniscule risk. Why pursue $300,000 and take on added risk to life and limb?[6]

In investing, there is no such thing as a sure bet. Even the most blue-chip business on the planet has a probability of not being in business tomorrow. Investing is all about the odds—just like blackjack. Thorp is the most vivid example of a human who has mastered these concepts fully. He has repeatedly played the odds on the Strip and Wall Street over the decades and won handsomely on both fronts—creating a huge fortune for himself and his investors. When an investor approaches the equity markets, it has to be with the same mind-set that Thorp had when he played blackjack: if the odds are overwhelmingly in your favor, bet heavily.

Let's assume that you have adopted the Dhandho framework and have found an existing publicly traded company with a simple business model. Further, it happens to be a business under temporary distress, and this has